

platforms. Not only do these exchanges not have the same consumer protections in place, but the assets they offer are much more prone to wild price swings. Exchanges such as Bitfinex and Kraken provide a mix of security, regulatory adherence, and access. We are not discouraging use of any of these exchanges. It all depends on the balance of security and access the innovative investor is looking for.

To better understand some of the paranoia around exchange security and reliability, it's important to know that over time exchanges have been a weak point because they are centralized repositories of cryptoassets, which makes them targets for hacking. Unlike a bank heist which requires physical force and puts the thieves' lives at risk, thefts of cryptoassets from an exchange can be accomplished with (relatively) clean hands from anywhere in the world. Beyond the ability to steal assets from afar, the irreversible nature of cryptoasset transactions makes them even more enticing to hackers. If someone steals a credit card or hacks into a bank account, the associated institution can reverse the transactions. With cryptoassets, there is no centralized intermediary to come to the rescue.

#### **THE HIDDEN COST OF CHARGEBACKS**

Chargebacks occur when a customer disputes a credit card charge and that charge is reversed. Often, when the charge is reversed, it is the merchant that takes the loss.

Processing and investigating these chargebacks incur a cost for the credit card company, which are then often